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A Comparative Cultural Study of Competition in the Chinese Automotive Market: A Case Study of Geely and Hyundai

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Abstract: Against the backdrop of structural transformation in the Chinese automotive market (2015-2025), this study investigates the divergent trajectories of Geely and Hyundai to explore how organizational culture determines strategic performance in highly dynamic markets. Drawing on Hofstede's Cultural Dimensions Theory and Acculturation Strategy, the research reveals that Hyundai's decline stems from "strategic rigidity" induced by its high Power Distance Index (PDI) and high Uncertainty Avoidance Index (UAI). This rigidity manifested as lengthy decision-making chains, information distortion, and strategic latency during the new energy transition. Conversely, Geely's success is attributed to its localized "strategic agility," rooted in a pragmatic culture with low uncertainty avoidance. This culture enabled Geely to efficiently absorb external technologies (e.g., Volvo) through an "Integration" acculturation strategy and establish organizational mechanisms that encourage rapid trial and error. The findings suggest that in the rapid iteration phase of emerging markets, organizational agility and technology integration capabilities that transcend cultural barriers are more critical determinants of survival and development than traditional brand equity.

Keywords: Cross-Cultural Management; Strategic Agility; Power Distance; Uncertainty Avoidance; Cultural Acculturation; Geely; Hyundai.

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1 Introduction

The Chinese automotive market is the world's largest and most fiercely competitive single market. Over the past decade (2015-2025), it has experienced a structural transformation from the dominance of joint-venture brands to the rise of indigenous brands (China Association of Automobile Manufacturers [CAAM]). Multinational corporations, which once occupied the market's commanding heights during the internal combustion engine era, have generally encountered a sharp loss of market share and operational difficulties amidst the wave of new energy and intelligence. The fate trajectories of South Korea's Hyundai Motor Group and China's Geely Auto Group constitute the most representative case of this era's transition: Hyundai's sales in China have fallen from a peak of over one million units in 2016 to today's low point (Gasgoo Auto Research Institute, 2024), while Geely has achieved leapfrog growth from 510,000 units to over 2 million units (Geely Automobile, 2024). This dramatic reversal of "one ebbing and the other flowing" provides a valuable empirical window for us to deeply explore the underlying mechanisms of cross-cultural management and local operations.

Existing research often tends to attribute the failure of Multinational Corporations (MNCs) in emerging markets to external macroeconomic changes, insufficient technological iteration, or price wars by local competitors. However, these explanations struggle to fully cover the complexity behind the phenomenon, especially failing to explain why local enterprises like Geely can demonstrate strong counter-cyclical resilience and extremely high strategic agility in the same market environment. This study argues that the core drivers behind strategic appearances are often rooted in the internal cultural structure and management mechanisms of the organization (Hofstede, 2011). Therefore, the current research gap lies in the lack of a systematic analysis centered on a cultural perspective to deeply decode how organizational cultures from different national backgrounds directly affect strategic choices and final performance in a highly dynamic and uncertain market.

This study aims to bridge the aforementioned theoretical gap. Taking South Korea's Hyundai and China's Geely as comparative cases, it answers the core question: Based on culture and management theories, what are the key reasons for the success or the deep causes of the predicament of multinational enterprises in the Chinese market? How did Chinese enterprises use the deficiencies of the multinational companies that originally dominated the market to achieve strategic overtaking? To this end, this study takes the cultural perspective as the core, integrates management theories such as Power Distance (PDI), Uncertainty Avoidance (UAI), and Organizational Acculturation, and systematically analyzes how cultural traits affect the degree of decision-making centralization, technical knowledge integration capabilities, and the speed of strategic response to emerging technologies (new energy).

2 Theoretical Background

2.1 Power Distance

Among the many dimensions of cross-cultural research, Power Distance is of great significance. Power distance is defined as "the extent to which the less powerful members of institutions and organizations within a country expect and accept that power is distributed unequally" (Hofstede, 1980). Since the mentoring relationship itself has asymmetrical characteristics, the power distance dimension is closely related to the way mentoring relationships operate.

Different from transactional relationships in the workplace or equal interactions between peers, mentoring relationships involve the trade-off of multiple factors such as status differences, exposure of vulnerability, and trust building, all of which are influenced by how different cultures understand hierarchy and authority (Sambunjak, 2015). In a high power distance cultural environment, mentoring relationships often emphasize respect for authority and the maintenance of hierarchical order; while in a low power distance cultural environment, mentoring relationships tend to adopt a cooperative, informal interaction mode.

However, these generalized descriptions based on cultural dimensions are often difficult to fully capture the complexity and details of actual mentoring experiences. Especially when individuals switch between different cultural contexts, or participate in mentoring relationships that are simultaneously influenced by cultural background and project organizational

structure, the actual situation may present more diverse characteristics than theoretical predictions (Okoliko & Hastings, 2026).

2.2 Acculturation Strategy

Acculturation refers to the process by which individuals or organizations growing up in one cultural background adapt to a new cultural environment through cross-cultural contact (Berry, 1997). In the operation of multinational enterprises, since there may be differences or even conflicts between the home country culture and the host country culture, enterprises must develop strategies to cope with acculturation pressure.

Acculturation strategies are mainly reflected in two dimensions: first is Cultural Maintenance, that is, to what extent the enterprise retains its home country's management culture and operating model; second is Cultural Contact, reflecting the degree of the enterprise's acceptance and integration of the host country culture. Different acculturation strategies will lead to different operating results. Existing literature attempts to understand the impact of different acculturation strategies, such as organizational adaptation levels (Stogianni et al., 2021), employee satisfaction (Yoo, 2021), market responsiveness (Tatarko et al., 2020), and technology transfer efficiency (Ma & Xia, 2021).

In addition, previous studies on acculturation strategies have mostly focused on the cognitive or affective levels, such as the attitude of corporate management towards home country culture and host country culture, or the willingness to contact local partners (Xu et al., 2023). Fewer literatures focus on the behavioral level of corporate acculturation strategies (Kreienkamp et al., 2024). In contrast, this study directly measures the behavioral performance of its cultural adaptation by analyzing the actual business decisions and organizational behaviors of the two companies, especially the differences in decision-making autonomy allocation, technology transfer methods, and strategic response speed. As pointed out by Kreienkamp et al., understanding the organizational interaction patterns during the acculturation process is crucial. Whether an enterprise selectively relies on decision-making instructions from the home country headquarters or actively integrates into the host country market ecology reflects different acculturation strategies and may lead to different business results. By comparing the specific behaviors of Geely and Beijing Hyundai in the Chinese market—including decision-making processes, technical cooperation models, market response mechanisms, etc.—this study provides an objective measurement standard for evaluating the actual acculturation strategies of enterprises.

Existing research involves behavioral indicators including localized talent recruitment (Ay Kesgin, 2024), cross-cultural cooperation models (Song, 2009), and the choice of information communication channels (Shoemaker et al., 1985). Although these studies provide valuable insights for understanding the behavior of multinational enterprises in host country markets, they often fail to fully capture the interaction patterns between enterprises and the host country market as well as the home country headquarters.

2.3 Uncertainty Avoidance Index (UAI)

The GLOBE survey defines uncertainty avoidance as the extent to which people rely on norms, rules, or procedures to alleviate uncertainty. Hofstede's measurement reflects the degree to which people feel threatened by uncertainty (Hofstede & Minkov, 2013). The higher the degree of uncertainty avoidance, the more people will seek order, structure, formal procedures, or clear rules to reduce the need for self-decision-making and bearing uncertain results (House, 2004).

In corporate strategic decision-making, uncertainty avoidance has a significant impact on corporate behavior. In countries with a high degree of uncertainty avoidance, companies tend to hold more cash reserves to deal with unexpected situations (Bae et al., 2012).

Using the uncertainty avoidance dimension to explain differences in financial systems, it is found that countries with a high degree of uncertainty avoidance are more inclined to adopt bank-based systems with stronger stability and predictability, rather than market-based financial systems (Kwok & Tadesse, 2006).

In terms of corporate investment decisions, uncertainty avoidance may have an impact through management's attitude towards risk. First, companies with a high degree of uncertainty avoidance tend to increase precautionary resource reserves as a buffer against market or technological shocks. This means that companies will adopt more conservative investment strategies,

prioritizing projects with lower risks but relatively lower returns. Second, companies with high uncertainty avoidance tend to allocate resources to mature, predictable business areas rather than high-risk, high-return emerging areas.

3 Problem Research

3.1 Trajectory Characteristics of Market Scale Changes

Based on Geely Automobile's annual reports (2015-2024) and the historical data of Beijing Hyundai released by the CPCA, the market performance of the two companies presents an "X-shaped" crossing characteristic, with the crossing point appearing in 2017. This reflects the divergence of two different corporate development paths in the same market environment.

3.1.1 Geely Automobile: The "Exponential" Leap from Edge to Center

The data trajectory of Geely Automobile can be called one of the most exciting counterattack stories in the history of China's automobile industry. Tracing back to 2015, Geely's annual sales were only 510,000 units, at a lukewarm mid-stream level in the entire Chinese auto market, far lagging behind joint venture giants such as Volkswagen and GM. However, the changes that occurred in the next three years were enough to rewrite the industry landscape.

From 2015 to 2018, Geely entered a period of explosive growth. Data shows that the compound annual growth rate of Geely reached a level that stunned competitors during these three years, and sales successfully broke through the 1.5 million mark in 2018. This was not linear growth, but an exponential leap—the growth rate of each year was refreshing people's cognitive boundaries of independent brands. More importantly, this growth was built on a solid foundation of product quality improvement and brand value reshaping, rather than simple price wars.

From 2019 to 2021, the Chinese auto market encountered its first negative growth in 28 years, and the entire industry entered a period of deep adjustment. In this winter that tested the real competitiveness of enterprises, Geely demonstrated extraordinary resilience. Although the growth momentum slowed down, its sales volume consistently stabilized at a high level of around 1.3 million units, neither experiencing a cliff-like drop nor losing market share. This resilience in industry adversity precisely proves that Geely has completed the key transformation from quantitative change to qualitative change.

After entering 2023, Geely started its second explosion. With the comprehensive implementation of the new energy strategy, the high-end breakthrough of the Zeekr brand, the mid-range coverage of the Galaxy series, and the market exploration of the Geometry brand, Geely's sales curve once again showed a steep upward trend. By 2024, Geely set a historical peak of 2.177 million units. This number is not just a simple sales breakthrough, but marks Geely's successful construction of a complete ecosystem driven by "dual wheels" of traditional fuel vehicles and new energy vehicles.

Taken together, Geely's data curve presents a three-stage feature of "explosion-consolidation-re-explosion". This curve form is called the "dual growth curve" in economics. It reveals that an enterprise possesses sustainable endogenous growth momentum and has successfully found a second growth pole. This is not accidental luck, but a comprehensive reflection of strategic determination and organizational capability.

3.1.2 Beijing Hyundai: The "Cliff-like" Decline from Peak to Valley

If Geely's story is an inspirational legend, then Beijing Hyundai's trajectory is more like a Greek tragedy—falling from the peak of glory to the edge of almost disappearing, the whole process is full of a sense of fate.

Turning the clock back to 2013 to 2016, that was the golden age belonging to Beijing Hyundai. In these four consecutive years, Beijing Hyundai's annual sales stabilized at over one million units, reaching a historical peak of 1.14 million units in 2016. At that time, Beijing Hyundai almost became synonymous with "cost-effectiveness" among joint venture brands, firmly occupying an important share of the Chinese auto market through a high-frequency new product launch strategy. Models like Elantra (Langdong), Mistra (Mingtu), and ix35, which were seen everywhere on the streets, constituted the collective memory of that era.

However, 2017 became the watershed of Beijing Hyundai's fate. In this year, affected by the "THAAD" incident, Beijing Hyundai's sales dropped sharply by 28% in a single year, falling to 820,000 units. This was not just a decline in sales figures, but marked the comprehensive collapse of a growth logic. When small changes in the external environment can trigger such a

drastic market reaction, it actually exposes the fragility of the enterprise's foundation.

What is more alarming is that the trend after 2018 completely shattered the market's expectation of Beijing Hyundai's "bottoming out and rebounding". Data shows that Beijing Hyundai did not gradually recover like other brands affected by political events, but instead entered a long recession period with alternating "slow declines" and "plunges". Sales continued to slide to 710,000 units in 2019, fell below the 500,000 mark in 2020, and dropped to around 230,000 units in 2022. By 2024, the latest forecast data shows that Beijing Hyundai's annual sales may be less than 160,000 units, a staggering shrinkage of nearly 87% compared to the peak in 2016.

The curve features depicted by this set of data can be summarized as "false high - sudden drop - continuous blood loss". The so-called "false high" means that the million sales before 2016 were built on an extremely fragile foundation, lacking true brand loyalty and a technological moat. "Sudden drop" reveals how this fragility instantly transforms into systemic collapse when the market environment changes. And the most fatal "continuous blood loss" shows that Beijing Hyundai completely lost its ability to self-repair and rebuild after the crisis occurred, falling into a downward spiral with no end in sight.

3.2 "Three Key Operational Issues" Revealed Behind the Data

By comparing two sets of diametrically opposed data trajectories, we can distill three core problem points. These problems are not only the key to understanding the divergence in the fate of the two companies, but also the key "puzzles" that must be answered in the subsequent in-depth analysis of corporate culture and strategic choices.

3.2.1 Beijing Hyundai's "Structural Fragility"

From purely data logic, the "THAAD" incident in 2017 should have been an external shock with obvious temporary characteristics. Theoretically, as the political storm subsided and consumer sentiment recovered, Beijing Hyundai's sales should have shown a V-shaped rebound. However, surprisingly, the data trend completely contradicted this conventional expectation—not only did it not rebound, but it accelerated downwards all the way.

This anomaly reveals a deep-seated problem: Beijing Hyundai's million sales before 2016 likely had extremely high "bubble characteristics". Analyzing the supporting factors of its market success, we find that its core competitiveness was highly concentrated in the two dimensions of "cost-effectiveness" and "exterior design". The problem with this competitive advantage is that it constitutes almost no moat—competitors can quickly offset the cost-effectiveness advantage through price reductions, and exterior design is difficult to form a lasting barrier in the homogenized auto market.

More critically, this superficial prosperity masked a serious lack of brand loyalty and core technology accumulation. When external factors like the "THAAD" incident broke consumers' purchasing inertia and forced them to re-examine their brand choices, Beijing Hyundai discovered that it had not built real brand assets in the minds of consumers. Once the external environment undergoes minor adjustments—whether political factors or price promotions by competitors—its market foundation will instantly disintegrate, collapsing quickly like a sandcastle meeting water.

This raises a question worth pondering: Did the deep-rooted "performance-oriented" trait in Korean corporate culture lead management to overly pursue short-term sales figures while ignoring the long-term accumulation of brand assets? When quarterly sales become the only measure of success, companies easily fall into the cycle of price promotions and exterior design, abandoning cultivation in areas that require long-term investment such as core technology, brand building, and customer relationships.

3.2.2 Geely Automobile's "Counter-cyclical Resilience"

From 2018 to 2020, the Chinese auto market experienced the most severe continuous negative growth since 1990. In this crisis known as the "auto market winter" in the industry, many once-glorious joint venture brands failed one after another. Ford's sales in China plummeted from 950,000 units in 2016 to 600,000 units in 2020, Hyundai, as mentioned earlier, fell into a free fall, and Peugeot Citroen almost withdrew from the Chinese market. The entire industry was filled with pessimism.

However, amidst this widespread grief, Geely's data presented a completely different picture. Although the growth momentum did slow down, its sales volume consistently stabilized above the benchmark line of 1.2 million units. This was not luck, but a real ability to resist declines. More importantly, Geely not only held its sales scale, but its market share increased

against the trend, and its brand influence continued to strengthen.

Where did this "counter-cyclical resilience" come from? Data analysis reveals that Geely completed a key product structure upgrade around 2016. High-quality SUVs represented by Boyue and high-end brands represented by Lynk & Co gradually replaced early low-price compact sedans, becoming the main force of the sales structure. This qualitative change in product structure brought two key effects: first, it increased the average selling price per vehicle and profit margin, enhancing the company's financial risk resistance; second, it improved consumers' brand perception through higher product power, reducing price sensitivity.

Looking deeper, this counter-cyclical resilience actually verifies that Geely completed a strategic soft landing. When acquiring Volvo in 2010, the outside world generally questioned the risk of "a snake swallowing an elephant", worrying that Geely could not digest such huge technological assets. However, data proves that Geely not only successfully digested Volvo's technological genes but also transformed them into the core driving force for its own product power improvement. This technology conversion capability became the key weapon for Geely to resist risks in the market winter.

This raises the core question for subsequent analysis: How did Geely's organizational culture support this cross-cultural technology integration? What kind of management mechanism allowed a local Chinese enterprise to quickly achieve technology digestion and transform it into market competitiveness after acquiring a European century-old car company?

3.2.3 "Strategic Time Lag" in New Energy Transformation

The four years from 2021 to 2024 became a key touchstone for testing the strategic foresight of Chinese car companies. Data comparison shows an extremely sharp contrast: Geely's sales jumped from 1.32 million units to 2.17 million units, a net increase of 850,000 units, and this increment came almost entirely from the new energy sector—the high-end breakthrough of the Zeekr brand, the mid-range layout of the Galaxy series, and the market exploration of the Geometry brand jointly built Geely's complete matrix in the new energy field.

In strong contrast, during the same period, Beijing Hyundai's sales continued to shrink from 380,000 units to 150,000 units, a decline of up to 60%. What is even more shocking is that Beijing Hyundai's sales of new energy models in the Chinese market are almost negligible, with the proportion hovering in the single digits for a long time. This means that when the market has undergone a structural transformation—the penetration rate of new energy vehicles soared from 13% in 2021 to over 35% in 2024—Beijing Hyundai is still trapped in the quagmire of traditional fuel vehicles, struggling to support itself through continuous price cuts and "trading price for volume" strategies.

This is a typical phenomenon of strategic defocusing. Two companies in the same market, facing the same group of consumers, and in the same policy environment, made diametrically opposite resource allocation decisions. Geely decisively tilted R&D resources, brand marketing, and channel construction towards new energy, successfully seizing the historical opportunity of the "great changes unseen in a century" in the Chinese auto market. Beijing Hyundai, on the other hand, showed obvious strategic dullness, missing the golden window period for transformation.

Hidden behind this strategic time lag are deeper organizational problems. Hyundai Motor Group behind Beijing Hyundai, as a global top-three multinational car company, possesses strong technological reserves and global resources. Logically, such an enterprise should remain highly sensitive to market changes. Why was decision-making in the Chinese market so slow?

A reasonable hypothesis is that the highly centralized culture of the Korean headquarters—the "high Power Distance" characteristic in Hofstede's cultural dimension theory—led to a lag in response to changes in the local Chinese market. When Chinese consumers' preferences shifted rapidly to new energy, and when new car-making forces launched new products at Internet speed, every major decision of Beijing Hyundai required layers of approval from the Seoul headquarters. This lengthy decision-making chain caused the enterprise to lose its adaptability in a rapidly changing market. In contrast, as a local enterprise, Geely has a short decision-making chain and fast market response, allowing it to quickly adjust its strategic direction according to market changes.

3.3 Supplementary Evidence from Financial Data: Profit and Sustainability

Sales data is important, but without the supplement of a financial perspective, our judgment on the quality of corporate

operations would be biased. Therefore, it is necessary to further verify the conclusions of the above analysis from the perspective of profitability and financial health.

From Geely Automobile's 2023-2024 financial statements, the company's revenue has exceeded the 200 billion RMB mark, firmly ranking in the first tier of Chinese independent brands. More worthy of attention is the quality of earnings: although Geely has made large-scale R&D investments in the new energy field—R&D expenses exceeded 10 billion RMB in 2023—net profit still remained at a healthy level of 16.6 billion RMB. This shows that Geely's growth is "high-quality growth", not extensive growth achieved by sacrificing profits for scale expansion.

Another key indicator is the Average Selling Price (ASP) per vehicle. Data shows that Geely's ASP has shown an upward trend year by year in the past five years, rising from less than 80,000 RMB in 2019 to close to 100,000 RMB in 2024. This trend change is extremely important; it means that Geely has successfully achieved brand upward movement, and consumers are willing to pay a higher premium for Geely's products. The acquisition of this pricing power is the most direct evidence of the improvement of brand power.

In contrast, Beijing Hyundai's financial situation presents a completely different picture. According to the annual report disclosure of BAIC Motor, Beijing Hyundai has degenerated from a profit cow in the past to an investment burden. In 2023, Beijing Hyundai brought an investment loss of about 120 million RMB to BAIC Motor. Combined with sales data, this means that Beijing Hyundai is experiencing a "scale contraction without profit"—sales are shrinking, profits are also draining, and the enterprise has entered the most dangerous state of double recession.

This financial dilemma triggers a more serious vicious cycle of operation: without profit, R&D investment cannot be supported; without R&D investment, competitive new products cannot be launched; without new products, market share is further lost; and the loss of market share further erodes profit margins. Once this negative feedback loop is formed, it is difficult for an enterprise to break it on its own, often requiring strategic resource injection from shareholders or thorough business restructuring.

Comparing the financial health of the two companies, we can draw a clear conclusion: Geely is on a benign growth track and has the ability to continuously invest in the future; while Beijing Hyundai has fallen into a survival crisis, and every day of operation is consuming the brand assets and channel value accumulated in the past. This differentiation at the financial level provides the most powerful foreshadowing for the future fate of the two companies.

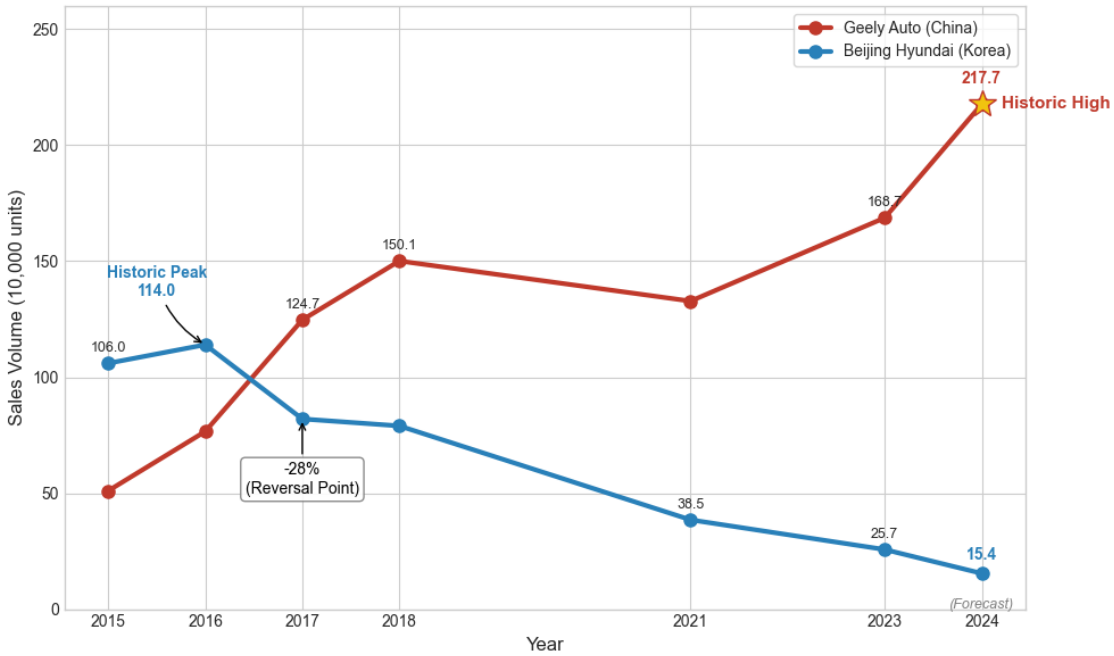

Figure1. Sales Volume Comparison: Geely Auto vs. Beijing Hyundai (2015–2024) (Unit: 10,000 vehicles)

Table1. Comparative Analysis of Financial Performance and Growth Drivers: Geely Auto vs. Beijing Hyundai

Indicator / Metric	Geely Auto (FY 2024)	Beijing Hyundai (Recent Status)
Revenue	CNY 240.2 billion (+34%)	Full revenue not separately disclosed; however, its financial contribution weight in BAIC reports has declined sharply.
Net Profit	CNY 16.6 billion (+213%)	Loss-making Status (According to BAIC reports, 2023 investment returns shifted to a loss of approx. -CNY 120 million).
Growth Drivers	NEV sales account for nearly 50% (Driven by Zeekr and Galaxy series).	ICE vehicles remain the primary focus; Over-reliance on the Elantra model; NEV presence is virtually non-existent.

4 Results Discussion

Based on empirical data, this study uses Hofstede's cultural dimension theory, organizational inertia theory, and cultural acculturation strategies to analyze the operational dilemma of Hyundai Group in the Chinese market and the success factors of Geely Automobile. The study believes that Hyundai Group's dilemma stems not only from external shocks but also from the mismatch between organizational culture and the market environment; Geely Automobile's success is attributed to the strategic agility brought by cultural pragmatism.

4.1 The Impact of Power Distance on Organizational Decision Autonomy

The structural fragility demonstrated by Hyundai Group when dealing with the market crisis after 2017 is directly related to its organizational culture of high Power Distance Index (PDI).

4.1.1 The Influence of the Korean Chaebol Management Model

Under the Korean Chaebol management model, Beijing Hyundai's major strategic decision-making power is highly concentrated in the Korean headquarters, forming a "headquarters-centrism" management model. High power distance causes information transmission to be a vertical, top-down one-way mode, leading to two core problems.

The first problem is decision delay. When the Chinese market changes (such as the 2017 crisis, the 2020 new energy launch), frontline managers lack the autonomy to make quick adjustments. Countermeasures must go through a complex vertical approval chain, causing time delays in strategic response. Specifically, when facing market changes after the "THAAD" incident, Beijing Hyundai needed to report the market situation to the Korean headquarters and wait for the headquarters to analyze and study before issuing response instructions. This process usually takes weeks or even months, by which time the market environment may have undergone new changes.

The second problem is information distortion. High power distance culture inhibits the willingness of the China region management to report market changes and the real needs of local consumers to their superiors. In a strictly hierarchical organizational structure, subordinates have psychological barriers to conveying negative information or information that does not conform to headquarters' expectations to superiors. This leads to incomplete or distorted market information obtained by the Korean headquarters, and standardized decisions made based on this information are out of touch with the actual situation in the Chinese market. For example, when Chinese consumers' demand for intelligent network connection functions rose rapidly, if the China region management failed to fully convey this change to the headquarters, the headquarters might continue to develop products according to traditional ideas.

4.1.2 Comparison with Geely Automobile

As a market-oriented private enterprise, although the power distance dimension exists in Geely Automobile, founder Li Shufu promotes a "result-oriented" pragmatic culture, giving sub-brands and technical departments greater operational autonomy.

This organizational structure allows Geely to quickly adjust product lines according to market demand. The Lynk & Co brand took only three years from planning to launch, and the Zeekr brand took less than two years from project initiation to the delivery of the first model. This speed is relatively rare in the traditional auto industry, reflecting Geely's flexibility in decision-making mechanisms.

In addition, Geely's sub-brands have relatively independent operating authority. Zeekr can independently decide product

positioning, pricing strategies, and channel models without asking for instructions from the headquarters for everything. This authorization mechanism avoids decision delays caused by Organizational Inertia.

Organizational inertia refers to the fixed thinking patterns and behavioral patterns formed by an organization during long-term operation, making it difficult to respond quickly to external environmental changes. As a large enterprise operating for decades, Hyundai Group's organizational structure, decision-making processes, and technical routes have formed path dependence, and changes require overcoming huge organizational resistance. In contrast, as a relatively young enterprise, Geely has less organizational inertia and is easier to make strategic adjustments.

4.2 The Impact of Cultural Acculturation Strategies on Technology Absorption and Product Power

The difference in product power between Geely and Hyundai—Geely achieving technology feedback through digestion and absorption, while Hyundai falling into homogeneous competition—is the result of different Acculturation Strategies.

Acculturation strategy refers to the way one or both parties adapt and change culturally when two different cultures come into contact. In corporate M&A and technical cooperation, acculturation strategies directly affect knowledge transfer efficiency and technology absorption capability.

4.2.1 Geely Automobile's "Integration" Strategy

After acquiring Volvo, Geely adopted an Integration cultural acculturation strategy. The characteristic of this strategy is to build a bridge for knowledge transfer by establishing the China Euro Vehicle Technology (CEVT) center while maintaining the cultural independence of Volvo.

The specific implementation method is reflected in three levels. First, Volvo retains an independent brand, management team, and R&D system, and continues to operate at its Swedish headquarters. Geely does not directly intervene in Volvo's daily operations, avoiding cultural conflicts. Second, the CEVT serves as a neutral technical platform where engineers from both China and Sweden work together. The CMA (Compact Modular Architecture) developed by this platform can be jointly used by Geely and Volvo. Third, through personnel exchanges, joint projects, and technical training, Volvo's technical standards, quality management, and R&D processes are gradually transferred to Geely. This process is not simple technology replication, but adaptive improvement combined with Chinese market demand.

This "brotherly" cooperation model avoids the obstruction of technology transfer by cultural conflicts. If Geely had adopted a forced integration method, requiring Volvo to operate in Geely's way, it would likely have led to the loss of Volvo's core talents and the loss of technological advantages. Through the integration strategy, Geely successfully transformed knowledge into product power. Based on the CMA architecture, Geely developed the Lynk & Co series, Xingyue series, and other products. These products are close to the level of joint venture brands in terms of design, handling, and safety, helping Geely maintain resilience during the market adjustment period.

This is a successful paradigm of organizational learning. Organizational learning theory believes that the improvement of corporate competitiveness comes not only from individual learning but more importantly from transforming individual knowledge into organizational knowledge to form organizational capabilities. Geely transformed Volvo's technical knowledge into the R&D capabilities of the entire Geely Group through a systematic knowledge transfer mechanism.

4.2.2 Hyundai Group's "Separation" Strategy

Hyundai Group has continued its technological "pure blood" doctrine in China and held a conservative attitude towards external cooperation. This strategy was effective in the early stage of Hyundai's development—through independent R&D and technology introduction, Hyundai established a complete technical system. But in the rapidly changing environment of the Chinese market, this closed strategy became a disadvantage.

The specific performance is reflected in several aspects. First is limited technical cooperation. Hyundai failed to deeply integrate with China's Internet and intelligent technology industries. When the Chinese auto market's demand for intelligent network connection, autonomous driving, and Internet of Vehicles functions rose rapidly, Hyundai's technical reserves were mainly concentrated in traditional powertrain and mechanical engineering fields, lagging behind local Chinese brands in software and intelligence. Second is the issue of R&D resource allocation. Hyundai's core R&D resources are still concentrated

in South Korea, and the China R&D center mainly engages in adaptive development, lacking frontier technology R&D capabilities. This leads to product development failing to fully respond to the special needs of the Chinese market. Third is the limitation of supply chain selection. Hyundai tends to use Korean suppliers or global suppliers, with limited cooperation with local Chinese suppliers. This not only increases costs but also causes Hyundai to miss China's technological progress in new energy-related fields such as batteries, motors, and smart cockpits.

Cultural closeness led to Hyundai's technology upgrades being unable to adapt to the requirements of the Chinese market for intelligence and digitalization. For example, Chinese consumers expect cars to have functions such as voice interaction, in-vehicle applications, and OTA upgrades, but Hyundai's products have long lagged behind local Chinese brands in these aspects. Ultimately, Hyundai products fell into a price war with local brands and could not support the premium capability that joint venture brands should have. When products lack technological advantages and brand premiums, sales can only be maintained through price cuts and promotions. But price cuts further damage the brand image, weaken consumers' willingness to buy, forming a vicious circle.

4.3 The Impact of Uncertainty Avoidance on Strategic Time Lag

Geely's strategic agility in the new energy transformation and Hyundai's strategic time lag can be explained by Uncertainty Avoidance Index (UAI).

Uncertainty avoidance is an important concept in Hofstede's cultural dimension theory, referring to a society's tolerance for uncertainty and ambiguous situations. Cultures with high uncertainty avoidance tend to reduce uncertainty through rules, systems, and plans, preferring stable and predictable environments. Cultures with low uncertainty avoidance are better able to accept risks and changes and are willing to try new things in uncertain environments.

4.3.1 Hyundai Group's High UAI and Decision Deadlock

South Korea belongs to a high uncertainty avoidance culture, and corporate decision-making tends to pursue well-verified plans to avoid risks.

Facing the uncertainty of the Chinese new energy market in the early stage (2018-2021), Hyundai Group chose a wait-and-see strategy. During this period, the new energy market presented multiple uncertainty characteristics. First, policies were changeable, subsidy policies were continuously adjusted, local protectionism existed, and the progress of charging infrastructure construction was uncertain. Second, the technical route was unclear, with multiple technical routes such as pure electric, plug-in hybrid, and hydrogen fuel cells coexisting, and the market had not yet formed a mainstream consensus. Third, the profit model was unclear, most new energy car companies were in a loss-making state, and commercial sustainability was questionable. Finally, market demand fluctuated greatly, new energy vehicle sales were obviously affected by policies, and market demand showed cyclical fluctuations.

In this highly uncertain environment, Hyundai Group's high uncertainty avoidance tendency prompted it to wait for the market to mature, the technical route to become clear, and the profit model to be verified before investing on a large scale. This risk aversion logic may be rational in a traditional business environment, but it evolved into a fatal strategic delay in a rapidly changing market. When Hyundai began to seriously layout new energy, the market landscape was basically determined. Tesla occupied the high-end market, BYD dominated the mid-to-low-end market, new forces like NIO, Li Auto, and Xpeng established brand awareness, and traditional car companies like Geely and Great Wall completed product layouts. Hyundai missed the best window period to enter the high-end electric vehicle market and could only find opportunities in the most fiercely competitive mid-to-low-end market, but at this time it lacked competitive advantages.

4.3.2 Geely Automobile's Low UAI and Trial-and-Error Culture

As a private enterprise driven by entrepreneurial spirit, Geely demonstrated a relatively low uncertainty avoidance tendency.

Geely's culture encourages rapid Trial and Error and accepts a certain degree of failure. This is reflected in many aspects. First is the multi-brand strategy. Geely launched multiple new energy brands such as Zeekr, Geometry, and Galaxy simultaneously, covering different market segments. Even if a certain brand performs poorly (such as Geometry's market performance being lower than expected), it does not affect the overall strategy. Second is the diversity of technical route

exploration. Geely has layouts in multiple technical routes such as pure electric, plug-in hybrid, and extended-range, not betting on a single route. This strategy of "walking on multiple legs" increased investment but reduced the risk of wrong technical route selection. Third is the rapid iteration capability. Geely's new energy products iterate quickly, adjusting in time according to market feedback. The "Blue Geely Action" originally planned for new energy and energy-saving vehicles to account for 90% each by 2020, and was later adjusted according to the actual market situation, reflecting strategic flexibility. Finally, it is the spirit of daring to take risks. When the market landscape was undecided and profit prospects were unclear, Geely made large-scale investments through sub-brands like "Zeekr". When Zeekr's first product was listed in 2021, the market still had doubts about the demand for high-end electric vehicles, but Geely persisted in investing and finally won market recognition.

This strategic adventurous spirit helped Geely seize the high ground of new energy. In 2023-2024, Geely's new energy sales grew rapidly, achieving a secondary explosion of data. If Geely had adopted a conservative strategy and waited for the market to mature before entering, it would likely have faced a dilemma similar to Hyundai's. The difference in the uncertainty avoidance dimension explains why the two companies made different strategic choices when facing the same market opportunities, and why these choices led to completely different results.

5 Conclusion

Cultural mismatch and organizational agility determine the rise and fall. Through a comparative analysis of the market performance of Geely Automobile and Beijing Hyundai from 2015 to 2024, this study confirms that the huge reversal of the fate of the two companies is not an accidental market fluctuation, but an inevitable result of the high degree of matching or mismatching between their organizational culture and the Chinese market environment. The data clearly shows that Hyundai Group fell from the peak of one million sales in 2016 to less than 200,000 in 2024, while Geely Automobile leaped from a follower to a market leader. The core difference between its success and predicament lies in Organizational Agility in the era of localization.

Hyundai Group's predicament is concentrated in the strategic rigidity brought about by the high Power Distance (High PDI) and high Uncertainty Avoidance (High UAI) culture of its Korean headquarters. Excessive power distance caused the China region to lack frontline decision-making power when facing the geopolitical shock in 2017, unable to quickly adjust strategies, resulting in continuous blood loss after the crisis. High uncertainty avoidance caused the group to choose wait-and-see and hesitation when facing the unclear prospects of the new energy market, missing the strategic window for launching electrified high-end products, and was eventually eliminated by the market in terms of technology and product structure, falling into a structural fragility of "scale without profit".

In sharp contrast, Geely Automobile's success is attributed to its pragmatic culture driven by entrepreneurial spirit. At the strategic level, Geely successfully digested Volvo technology through flexible Cultural Acculturation strategies, building a solid product technology moat, enabling it to demonstrate strong counter-cyclical resilience in the market downturn cycle. at the transformation level, Geely inherited the trial-and-error spirit of local enterprises of "crossing the river by feeling the stones", that is, lower uncertainty avoidance. This high risk tolerance in culture supported its bold investment in the new energy field, and through the rapid incubation of sub-brands such as "Zeekr", it successfully captured new market momentum and achieved a secondary takeoff in performance.

In summary, the key for multinational enterprises to succeed in the high-speed iterative Chinese market lies in overcoming their inherent cultural inertia, delegating localized autonomous decision-making power, and establishing an organizational mechanism that encourages rapid trial and error and embraces uncertainty. The decade-long duel between Geely and Hyundai proves that in a highly competitive and rapidly changing environment, the organizational capability driven by culture—strategic agility—is far more important than traditional brand authority or initial scale.

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